- ❖ The common–size statements show the relationship of various items with some common base, expressed as percentage of the common base.
- ❖ Trend analysis refers to the study of movement of figures over a period.

Self-examination questions



I Multiple choice questions

Choose the correct answer

1. Which of the following statements is not true?

a) Notes and schedules also form part of financial statements.
b) The tools of financial statement analysis include common-size statement
c) Trend analysis refers to the study of movement of figures for one year
d) The common–size statements show the relationship of various items with some common base, expressed as percentage of the common base

2. Balance sheet provides information about the financial position of a business concern

a) Over a period of time
b) As on a particular date
c) For a period of time
d) For the accounting period

3. Which of the following tools of financial statement analysis is suitable when data relating to several years are to be analysed?

a) Cash flow statement
b) Common size statement
c) Comparative statement
d) Trend analysis

4. The financial statements do not exhibit

a) Non-monetary data b) Past data c) Short term data d) Long term data

5. Which of the following is not a tool of financial statement analysis?

a) Trend analysis
b) Common size statement
c) Comparative statement
d) Standard costing

6. The term 'fund' refers to

a) Current liabilities b) Working capital c) Fixed assets d) Non-current assets

7. Which of the following statements is not true?

a) All the limitations of financial statements are applicable to financial statement analysis also.
b) Financial statement analysis is only the means and not an end.
c) Expert knowledge is not required in analysing the financial statements.
d) Interpretation of the analysed data involves personal judgement.

8. A limited company's sales has increased from ₹ 1,25,000 to ₹ 1,50,000. How does this appear in comparative income statement?

a) + 20 % b) + 120 % c) – 120 % d) – 20 %

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